

Cedar Ridge Apartments: NOI reconciliation

Module 1.3 · 1400 Cedar Ridge Road, Durham · 12 units · asking \$1,750,000 · rent roll as of 2026-09-01, expenses TTM to 2026-08-31

Method: I did the worksheet by hand first. Then I asked two models the plain question with both files and no coaching: Model A was Claude Opus 5.5 and Model B was Claude Haiku 4.5, each in a fresh conversation with the files pasted in. I asked both again in new conversations with the fixing instruction in section 4 added.

1–2. Worksheet figures, mine beside the models' (first, uncoached ask)

Line	Mine (by hand)	Model A	Model B	My reasoning
1. Gross potential rent	208,200	208,200*	208,200†	Rent column sums to 17,350/mo × 12
2. Less vacancy loss	(18,000)	(18,000)†	(18,000)†	Unit 111 is vacant, marketed at 1,500 (note 2) × 12
3. Less non-revenue units	(17,400)	(17,400)†	(17,400)†	Unit 112 shows Occupied but houses the on-site manager as compensation (note 3). 1,450 × 12 never arrives.
4. Less concessions (yr 1)	(1,500)	0	0	Unit 110 signed 2026-08-01 with one month free (note 1). The lease is in year one, so it collects 11 of 12 months.
5. Effective rental income	171,300	172,800	172,800	Line 1 – 2 – 3 – 4
6. Plus other income	6,600	6,600	6,600	Laundry 3,600 + parking 2,400 + fees 600
7. Effective gross income	177,900	179,400	179,400	
8. Less operating expenses	(79,800)	(79,800)	(79,800)	TTM total, reserves included
9. In-place NOI	98,100	99,600	99,600	
10. Asking price	1,750,000	1,750,000	1,750,000	Given
11. Going-in cap rate	5.61%	5.69%	5.69%	98,100 ÷ 1,750,000 = 5.606%

* Model A gave 208,200 only as "the broker's likely number" and warned against using it. † Implied. Neither model built the waterfall; both summed the 10 cash-paying units straight to 172,800, so lines 1–4 never appeared as separate lines. Note 4 (units 108–109 on legacy leases) explains the 1,375 rents and changes nothing. All three of us treated it that way.

3. Where we differed, who was right, and why

Line 4, the concession (it flows through lines 5, 7, 9 and 11, a \$1,500 NOI gap and 8.6 bps of cap rate). Both models deducted nothing.

- Model A** saw the note. It reasoned that the free month was August, already gone by the 9/1 rent roll date, so the unit pays \$1,500 from here on. It also gave the effective lease rent as \$1,375/mo.
- Model B** listed unit 110 at \$1,500 and never mentioned the concession. That is the worse failure: a silent miss, delivered with the same confidence as everything else.
- Which is correct for this worksheet: mine.** Line 4 is defined as free rent in the first year of a lease, and unit 110's lease is one month into its first year, so year one collects 11 months.
- Where Model A has a point:** on a strict forward-12-months-from-9/1 view, the free month has passed and A's 172,800 is defensible. The disagreement is a definition question, not an arithmetic one. That is why the instruction has to name the convention.

What the models did better than I did. Model A raised two things my worksheet missed:

- Unit 108's lease expired 2026-07-31, before the rent roll date, and 109's expires 9/14. Both may be month-to-month or giving notice, which puts 2,750/mo of "in-place" rent at risk.
- The cut-off fixed run asked whether the \$8,600 management fee also pays the on-site manager, which would count the manager's compensation twice.

Neither changes the worksheet figures, but both belong in diligence questions to the broker.

4. The fixing instruction and what came back

Added after the same plain question, in a fresh conversation:

"Before calculating, read every broker note below the rent roll table and state which line of the calculation each one affects. Show the result as a waterfall with these lines: gross potential rent (every unit at its rent roll figure × 12), less vacancy loss, less non-revenue units, less concessions (year one), effective rental income, plus other income, effective gross income, less operating expenses, NOI, cap rate. Treat any free rent granted on a lease that is still in its first year as a year-one concession and deduct it, even if the free month falls before the rent roll date."

Re-run result	GPR	Vac.	Non-rev.	Conc.	EGI	NOI	Cap	Notes mapped
Model A, fixed	208,200	18,000	17,400	1,500	177,900	98,100	5.61%	All 4 correct; the response cut off mid-caveat after the figures
Model B, fixed	208,200	18,000	17,400	1,500	177,900	98,100	5.61%	All 4 correct (note 2 tied to GPR, not vacancy)

Both models now match my worksheet on every line. The waterfall instruction did as much as the concession rule: once lines 2–4 had to appear on their own, nothing could hide inside a single net-rent figure. The concession clause alone fixes line 4, but only because it names the convention. A plain "watch for concessions" would have let Model A keep its forward-12 reading.